What Drives Social Enterprises' Legitimacy: Implications from Consumers' Legitimacy Judgement

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Background

- Social enterprise (SE)
  - A hybrid organization (Battilana and Lee, 2014)
  - Driven by social mission and sustained by business models
- Legitimacy:
  - Definition: appropriateness, desirability and acceptance (Suchman, 1995)
  - Rooted in institutional theory; powerful and resource-rich actors
  - "Legitimacy to whom?" (Fisher et al., 2017); audience-dependent
- ***Consumers*** as one of the important types of audiences for SEs' legitimacy and the demand side of SEs has been largely under-researched.

An example of Social Enterprise: Dignity Kitchen; Photo credit to SCMP

The Past Literature

- In SE studies, more attention paid to *hybridity*, *business models*, *social impact measurement*, among others, focusing on *social entrepreneurs*, *government*, *beneficiaries* and *partners*
- Research gap: little research focusing on ***consumers*** of social enterprises (Lee et al., 2020; Tsai et al. , 2020)
- The influence of consumers' prior knowledge of organizations on legitimacy judgement (Shepherd and Zacharakis, 2003)
- Individual-level legitimacy judgement (Tost, 2011)
  - Instrumental: effectiveness, efficiency and utility
  - Relational: affirming social identity and self-worth
  - Moral: conforming to ethical principles and pro-social logic

Research Questions

1. What drives social enterprises' organizational legitimacy assessed by consumers?

2. How does consumers' SE-awareness influence their legitimacy judgement?

Method

- Engaging a playful exploration (Wennberg & Anderson, 2020)
- Topic Modeling
  - Latent Dirichlet Allocation (LDA) (Blei et al., 2003)
  - a text mining tool to uncover the ***hidden semantic structures*** in large and un-organized text corpus
  - Output: a list of topics which are characterized with a cluster of words and topic weights
- LASSO
  - A follow-up analysis of topic modeling for predicting legitimacy judgement
  - A regression analysis method for ***feature extraction*** and ***prediction accuracy improvement***
  - Find topics with the strongest predicting power for legitimacy judgement

Data

- OpenRice
  - Popular dining app in Hong Kong
  - “Social Enterprise Restaurant” category

Data

- 79 SE restaurants
- 1692 reviews
- 1361 unique consumers

Reviews classified into ***SE-aware*** and ***SE-unaware*** reviews based on whether **keywords related to SE** are detected

SE-aware reviews

- N=600
- the number of tokens: mean=287, max=1785

SE-unaware reviews

- N=1092
- the number of tokens: mean = 204, max=1935

Example Review:

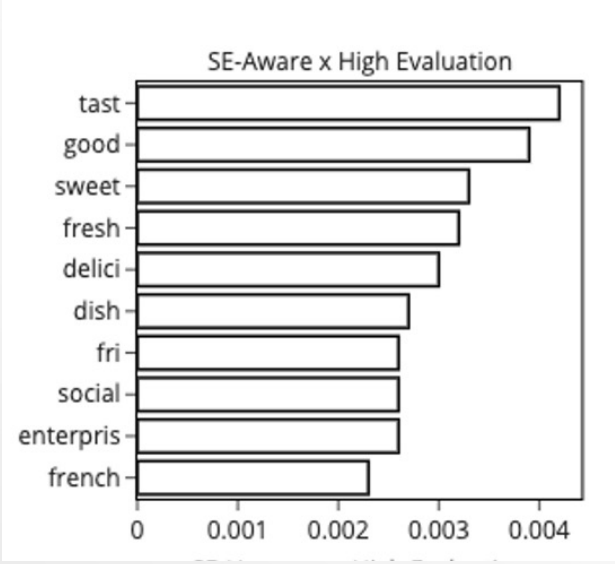
"To welcome 2018, my family decided to enjoy fine dining on a Friday night. XXX was the choice because of the good reputation and its nature as a social enterprise… The meal satisfied both my stomach and heart… I was disappointed because the 6 course tasting menu at 438 is the only choice, seafood and beef, rather limited."

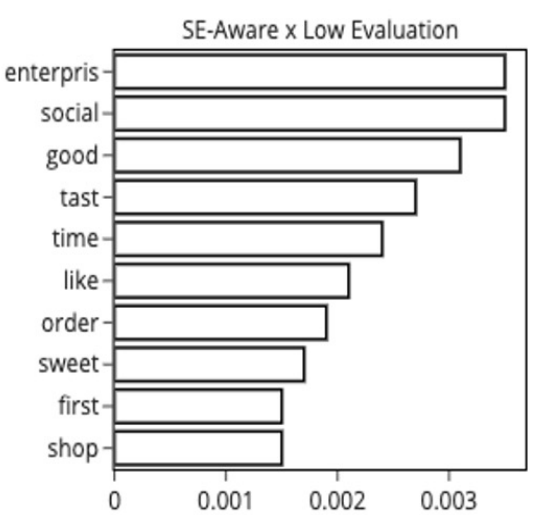
Example Review:

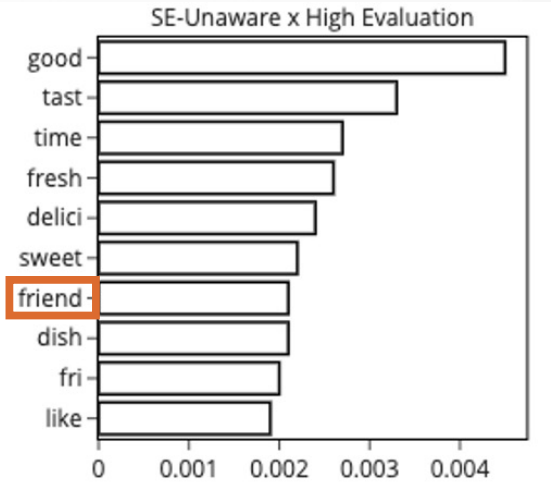
"A great place to meet up with friends for coffee sandwiches and cake. Comfortable and accommodating for new moms with babies."

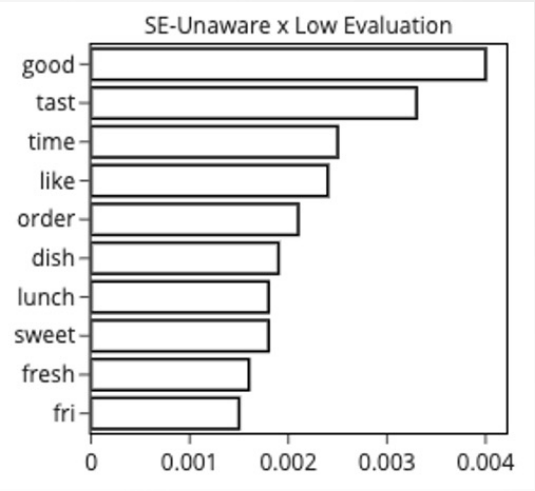
TF-IDF Result

- TF-IDF: Term Frequency–Inverse Document Frequency









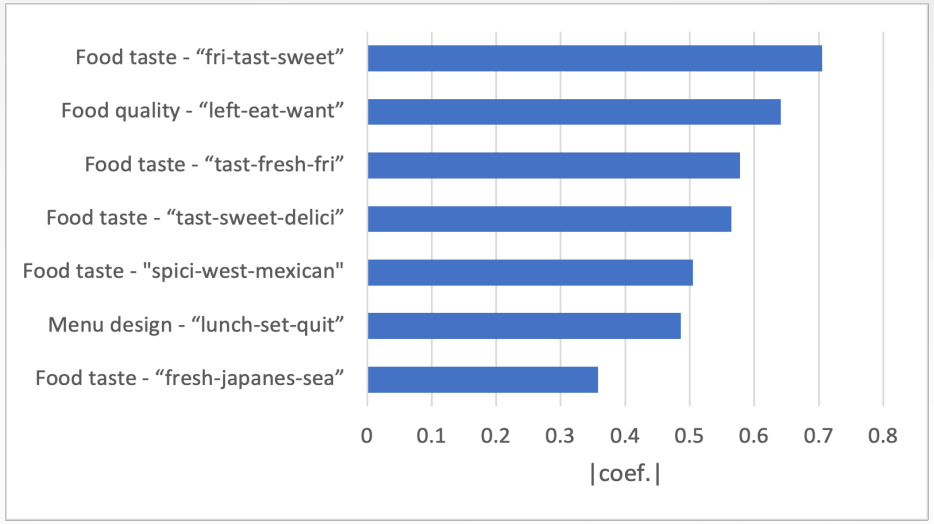
Topic Modeling Result

No.	Topic	Topic Weight	Top Terms	Label
1	Topic 11	0.1155	good, food, eat, friend, delici, time, tast, environ, enough, servic	Social bonding
2	Topic 6	0.0867	left, eat, want, call, time, ill, see, drink, first, lunch	Food quality
3	Topic 16	0.0802	fri, tast, sweet, enough, flavor, hot, chop, littl, crispi, breakfast	Food taste
4	Topic 12	0.0758	restaur, social, enterpris, lunch, support, price, order, servic, need, work	Supporting SE
5	Topic 2	0.0614	place, environ, comfort, park, come, enjoy, shop, quiet, order, time	Dining environment
6	Topic 5	0.0529	food, meet, friend, parti, compani, time, conveni, servic, kind, wing	Social bonding
7	Topic 14	0.0505	food, tabl, first, time, old, order, elder, want, waiter, restaur	Beneficiaries
8	Topic 19	0.0478	vegetarian, restaur, eat, dish, food, veget, tast, like, much, fri	Sustainable dining
9	Topic 7	0.0477	lunch, set, quit, main, order, menu, cours, dish, good, nice	Menu design
10	Topic 18	0.0466	fresh, japanes, sea, sweet, tast, eat, food, order, delici, full	Food quality
11	Topic 17	0.0456	tast, sweet, delici, dish, cours, gras, french, parol, fresh, wine	Food taste
12	Topic 15	0.0431	tast, fresh, fri, french, sweet, cours, red, restaur, dish, main	Food taste
13	Topic 8	0.0429	tast, drink, sweet, cup, flavor, shop, hot, latt, like, time	Food taste
14	Topic 13	0.0403	organ, veget, food, tast, fresh, drink, sweet, eat, restaur, vegetarian	Sustainable dining
15	Topic 9	0.0339	kong, hong, museum, restaur, nostalg, teahous, style, room, food, histori	Activating emotions
16	Topic 4	0.0311	sweet, tast, love, ibakeri, bakeri, bag, green, social, flavor, enterpris	Social mission
17	Topic 10	0.0282	dark, food, eat, experi, dinner, feel, time, see, dish, know	Experiential dining
18	Topic 3	0.0275	sweet, shop, tai, water, tast, mcdull, mai, social, kok, eat	Food taste
19	Topic 1	0.0241	spici, west, mexican, bar, restaur, food, pull, flavor, like, full	Food taste
20	Topic 20	0.0181	water, fresh, tast, green, good, light, eat, made, dish, mouth	Food taste

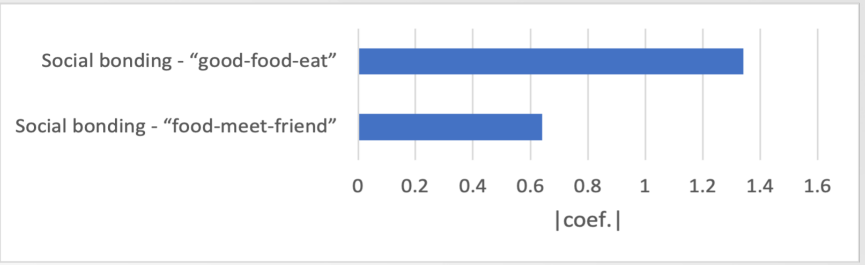
LASSO

- Based on the 20 topics generated from Topic Modeling
- **Consumer rating** as a proxy of legitimacy judgement (**DV**)
- Four dimensions (11 topics) significantly predict SEs' legitimacy (**IV**)

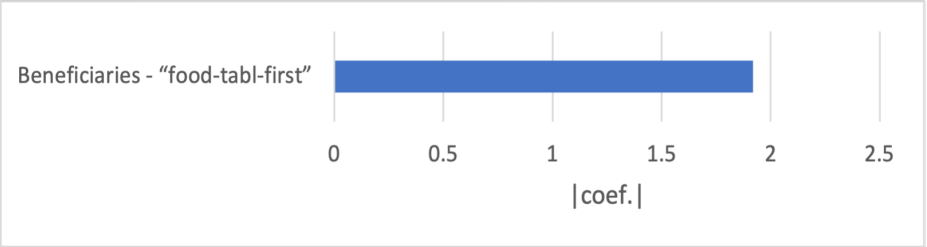
Instrumental evaluation
(sum |coef.|=3.837)



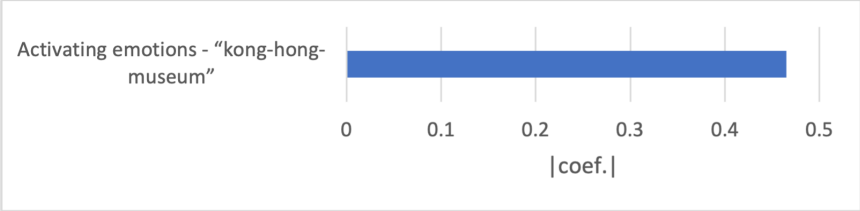
Relational evaluation
(sum |coef.|=1.983)



Moral evaluation
(sum |coef.|=1.918)

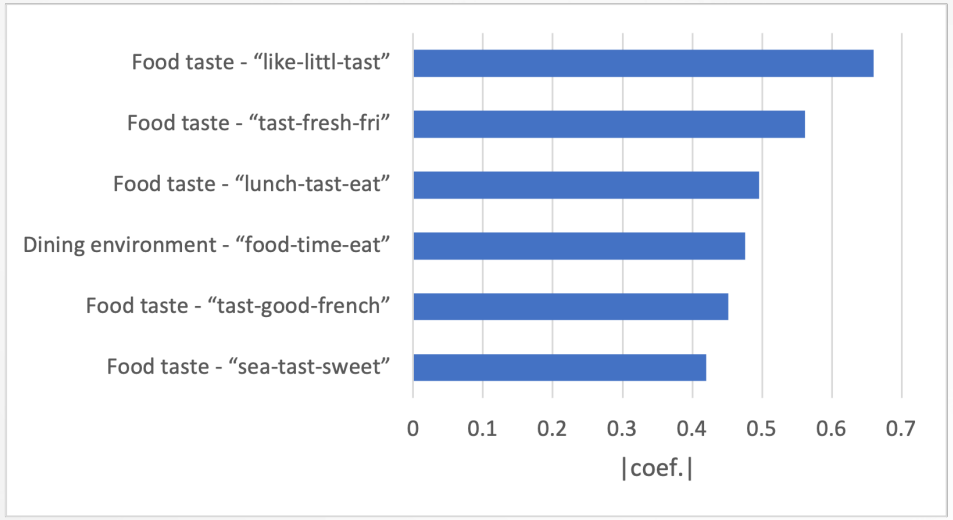


Emotional Reaction
(sum |coef.|=0.465)

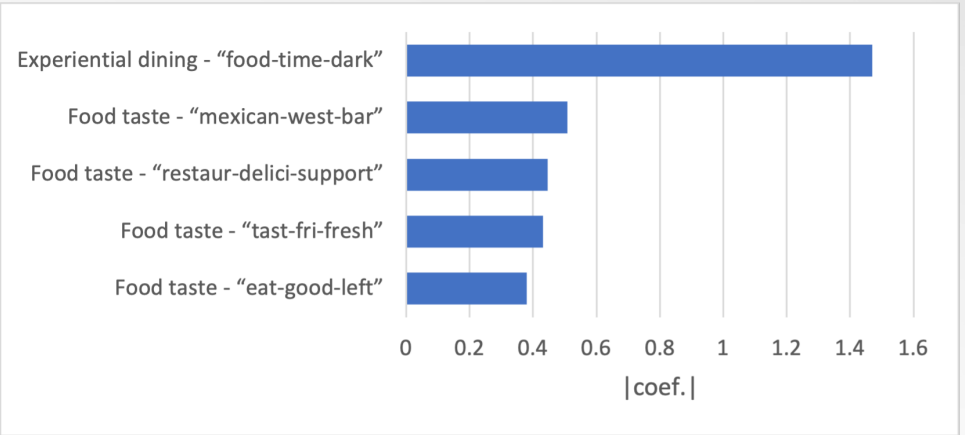


SE-aware vs. SE-unaware

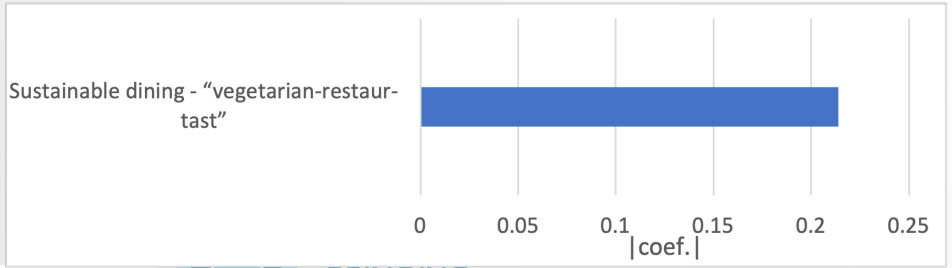
Instrumental evaluation
(sum |coef.|=3.066)



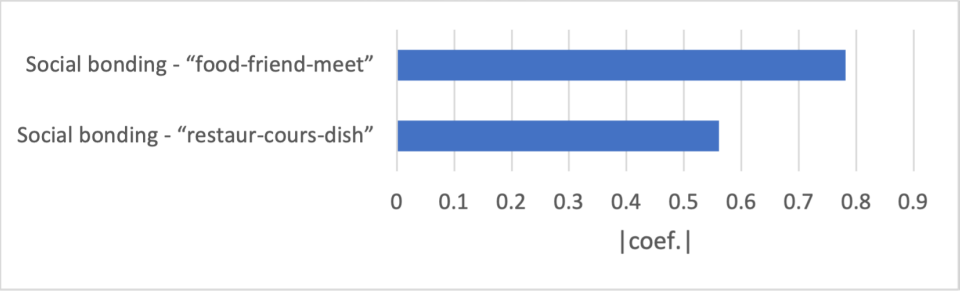
Instrumental evaluation
(sum |coef.|=3.238)



Ecological evaluation
(sum |coef.|=0.214)



Relational evaluation
(sum |coef.|=1.343)



Takeaway

- Consumers generally look at *instrumental*, *relational*, *moral*, *ecological* dimensions and involve *emotional reactions* for legitimacy judgement.
- ***Instrumental***, ***relational***, ***moral*** evaluations and ***emotional reactions*** are significant predictors for SEs' legitimacy.
  - For SE-aware consumers: *instrumental* and *ecological* evaluations
  - For SE-unaware consumers: *instrumental* and *relational* evaluations
- Moral evaluation not as important as instrumental evaluation for determining SEs' legitimacy assessed by consumers

Contribution

- Bring forward the conversation on legitimacy assessment by consumers in SE
- Legitimacy of SE (consumer rating) mainly influenced by ***instrumental*** evaluation
- *Moral* evaluation not as important as expected (as *instrumental* evaluation)
- *Hybridity* of SE not seen as such by consumers for legitimacy judgement
- A novel research method by using *large data* and *NLP* in SE research
- Future studies can be done to further examine the causal relationships in SEs' legitimacy assessed by consumers